

CENTRAL INTELLIGENCE AGENCY
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20 June 1954

MEMORANDUM FOR THE PRESIDENT

The attached summary of the situation in
Guatemala as of today is submitted at the sug-
gestion of Mr. Allen Dulles.

For The Director of Central Intelligence

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The Situation in Guatemala
as of 20 June



1. As of 20 June the outcome of the efforts to overthrow the regime of President Arbenz of Guatemala remains very much in doubt. The controlling factor in the situation is still considered to be the position of the Guatemalan armed forces, and thus far this group has not given any clear indication of whether it will move, and if so, in which way. If the Guatemalan army should move within the next few days against the Arbenz regime, it is considered to have the capacity to overthrow it. On the other hand if it remains loyal and if most of the military elements commit themselves to vigorous action against the forces of Castillo Armas the latter will be defeated and a probability of uprisings from among other elements of the population is considered highly unlikely.

2. The position of the top-ranking military officers is constantly shifting with daily rises and falls in their attitudes. This group has long proclaimed its strong anti-Communist feelings and its ultimate intention of doing something to rid the government of Communist influences. Various officers have declared themselves as willing to take action against the regime given just a little more time or just a little more justification. It is probable that the rising pressure of events will compel this group to declare its position, one way or the other, at any

time from now on -- although the possible result could be a split in the ranks. [There are unconfirmed rumors as of Saturday night to the effect that Colonel Diaz, the Chief of the Armed Forces, and some 40 officers had applied for asylum in various foreign embassies in Guatemala City, but these embassies have not yet confirmed this report.]

3. There were new defections on Saturday from the Guatemalan Airforce, one pilot flying out with his plane and several others obtaining asylum in the Salvadorian Embassy. The Guatemalan Airforce has thus far failed to produce any interception effort against the overflights ^{By} ~~against~~ the Castillo Armas planes. However very heavy anti-aircraft fire is reported.

4. There is thus far no evidence to confirm the charges and propaganda of the Guatemalan regime of bombing attacks upon Guatemala. On the contrary there are eyewitness accounts of clumsy efforts to fabricate evidence of aerial bombardment (the home of Colonel Mendoza -- one of the defecting airforce officers, was set on fire by the police). It is probable that some of the damage to oil storage facilities and other installations, attributed by the Guatemalan Government as well as by Castillo Armas, to bombing attacks is in fact the result of sabotage efforts on the part of Castillo Armas agents or other resistance elements.

5. There is considerable evidence of a determination on the part of the Guatemalan Government to mobilize and arm Communist-controlled student youth and labor (agriculture) organizations. At the same time there is evidence of a hasty attempt to mobilize additional strength for the army.

6. There are strong indications of mounting tension between the army and the Guardia Civil -- the Communist influenced police organization.

7. We cannot confirm that either Puerto Barrios or San Jose has fallen to the Castillo Armas forces, but it is clear that there have been uprisings in these and other cities. A bridge on the key railroad line between Guatemala City and Puerto Barrios is reliably reported to have been damaged near Gualan.



Description of the Castillo Armas Movement

8. The action of Colonel Castillo Armas is not in any sense a conventional military operation. He is dependent for his success not upon the size and strength of the military forces at his disposal but rather upon the possibility that his entry into action will touch off a general uprising against the Guatemalan regime. The forces of Castillo Armas entering Guatemala from Honduras are estimated to number about 300 men. These have now been joined by others from inside the country to make a total in excess of 600 armed men. (The majority of this number is equipped with rifles, sub-machine guns and 50 mm mortars. These weapons are non-U.S. manufacture.) Castillo Armas himself is expected to leave his command post in Honduras today and join one element of his forces near Jutiapa by plane, but thus far there is no word that an airfield has become available. From the command post which he proposes to establish at this location, he will endeavor to coordinate the activities of his

other scattered groups throughout the country.

9. The entire effort is thus more dependent upon psychological impact rather than actual military strength, although it is upon the ability of the Castillo Armas effort to create and maintain for a short time the impression of very substantial military strength that the success of this particular effort primarily depends. The use of a small number of airplanes and the massive use of radio broadcasting are designed to build up and give main support to the impression of Castillo Armas' strength as well as to spread the impression of the regime's weakness.

10. From the foregoing description of the effort it will be seen how important are the aspects of deception and timing. If the effort does not succeed in arousing the other latent forces of resistance within the next period of approximately twenty-four hours, it will probably begin to lose strength.



